Organizational Power and Politics

Based on OpenStax, *Organizational Behavior* (2019), print ISBN 978-1-59399-877-6, CC BY-NC-SA 4.0. All stories and examples below come from the chapter.

The big idea: power and politics are "the lifeblood of most organizations." Groups compete for scarce resources, so whoever holds power shapes decisions. Four questions:

1. Where does power come from, and how do people react to it?
2. How do people push back (counterpower), and how do departments gain power?
3. Why do organizations get political, and how do managers cope?
4. How can unfair or unethical politics be limited?

1 Power, authority, and leadership

STORY **A power play at General Electric**

Struggling GE appointed a new CEO, **John Flannery**, who soon **fired half the company's board**, an "almost unheard of" move. In 2018, after only one year, the board **ousted Flannery**, absorbing a **$23 billion** loss, and **Lawrence Culp** became GE's first outsider leader.

What it shows: GE's case may be unusual, but power struggles are not. Unequal power affects motivation, satisfaction, turnover, and stress.

EXAMPLE **Typing letters vs. running errands**

A manager asks a secretary to **type some letters**: that is within the manager's authority. Asking the secretary to **run personal errands** is not. If the secretary does it anyway, they comply because of **power**, not authority.

What it shows: **power** is the ability to make someone do what they would not have done otherwise. It is often implied force: B *believes* A can make B comply. **Authority** is the *right* to ask.

Power ("informal authority")	Authority ("legitimate power")	Leadership
The ability to get compliance, whether or not you have the right to.	The right to ask for compliance, because the group accepts it.	Getting people to go **beyond** required compliance, voluntarily. A **head** can require; a **leader** inspires.

Etzioni's three types of power classify organizations: **coercive** (forcing; a prison), **utilitarian** (rewards for performance; businesses), **normative** (members accept its right to govern them; a religious organization).

2 The five bases of power, and how people react

French and Raven name five bases. Each tends to bring **commitment** (belief in the cause), **compliance** (duty or reward, no enthusiasm), or **resistance** (trying to defeat the leader).

Base	Where the power comes from (book's example)	Usual reaction
Referent	B admires A's personal qualities, also called "charismatic power" (celebrities in ads)	Commitment
Expert	A's knowledge in a narrow area (professors, accountants, corporate attorneys)	Commitment
Legitimate	A's official position; B feels A has the right (a supervisor assigning work). Another name for authority.	Compliance
Reward	A controls rewards B wants (pay raises, promotions, good assignments)	Compliance

Coercive	Fear of punishment (firing, demotion, transfer to an undesirable job)	Resistance

Legitimate power lasts only while people accept it: a principal reason given for the **shah of Iran's** downfall is that people first questioned, then denounced, his right to it.

> STORY **Janey's new boss (case: "The Ohio Connection")**
> Janey, an executive assistant, got a new boss who used his power as her manager to make her **stay late** to fix **his** mistakes, with **no overtime pay**. She told him she had to pick up her son, and he was not happy. He kept criticizing her work despite good reviews. Next time, she stayed late **for fear of losing her job**.
>
> **What it shows:** the book asks which power he used and leaves it open. My reading: **legitimate** power (his position) sliding into **coercive** power, since she complied out of fear.

3 Counterpower: why power doesn't always work

> STORY **Administrative assistants: the power behind the throne**
> Without executive assistants (EAs), the book says, paperwork would stop and the organization would "eventually grind to a halt." *Secretary* comes from the Latin for **"keeper of secrets"**: EAs handle private calls, act as sounding boards, and know how the boss feels about others. Good EAs are scarce (Bay Area base pay reportedly starts at **$80-100K**), which raises their power.
>
> **What it shows:** **counterpower**. "Yes, their bosses have power over them; but at the same time, they have considerable power over their bosses."

Power dependency (not everyone is open to the same power) depends on: **B's values** (if B prizes money and A controls raises, B is easy to sway), the **A-B relationship** (peers or boss? a temp may feel less need to go along), and **counterpower** (B's own power, e.g. a union).

How B responds to A (Exhibit 13.4): **comply** if A is strong and B dependent; **bargain** if A's power is modest (asked for overtime, you ask for time off later); **cooperate** if power is balanced; **reject** if B is stronger; **ignore** if B is unsure who is stronger (some companies ignored early equal-opportunity efforts until regulations forced compliance).

The figure itself shows only four responses (comply, bargain, fight, ignore); "cooperate" appears only in the text.

4 Using power: tactics, signs, and ethics

Seven power tactics	Book's example
Control access to information	Pay secrecy: only personnel and senior managers know salaries.
Control access to persons	**Nixon's** two senior advisers controlled who saw him, a factor in his downfall.
Selective use of objective criteria	In faculty hiring, one side pushes teaching criteria, the other research.
Control the agenda	Put the unwanted topic last, or raise hard objections so it gets tabled.
Use outside experts	Bring in experts sympathetic to your cause.
Bureaucratic gamesmanship	Red tape, slowdowns, **"work to rule"** (obey every rule to the letter).
Coalitions and alliances	Unions in one company joining forces; trade associations lobbying.

> EXAMPLE **Same mistake, different outcome**
> "Have you ever noticed that when several people commit the same mistake, some don't get punished? Perhaps someone is watching over them."
>
> **What it shows:** a **symbol of managerial power** (Kanter): stepping in for someone in trouble.

Other signs of power: getting good placements or above-average raises for your people, spending beyond budget, items on the agenda, quick access to top people, early information, being asked for your opinion.

> STORY **The Challenger disaster (Ethics in Practice)**
> In January 1986 the space shuttle Challenger exploded, killing seven. The cause: poorly designed seals on booster rockets made by **Morton Thiokol**, whose engineers had warned of problems in the design stage and again in production. After **two engineers testified** to Congress, they were **abruptly transferred to undesirable assignments**. One said: "I feel I was set aside so I would not have contact with the people from NASA."
>
> **What it shows:** an **unethical use of power**: trying to isolate people who talked freely to investigators.

Ethical use of power: ask "which tactics are appropriate and which are not." Even coercion can be ethical (Table 13.1): explain the rules, warn first, punish consistently and in private, and fit the punishment to the offense.

5 Politics: power in action

Politics is "who gets what, when, and how" (Lasswell): using power and resources to get **your preferred outcome** when there is **uncertainty or disagreement** (Pfeffer). "Power is a property of the system at rest; politics is the study of power in action." With no opposition, politics isn't needed. It is **not inherently bad**: survival may depend on a department challenging an outdated policy.

> STORY **Which decisions are most political?**
> Managers in one study ranked decisions. **Most political:** coordination between departments, promotions and transfers, delegation of authority. **Least political:** personnel policies, hiring, disciplinary procedures.
>
> **What it shows:** politics grows where rules are missing and criteria are vague.

Condition that breeds politics	What people then do
Ambiguous goals	Define goals to suit themselves
Limited resources	Fight for the biggest share
Changing technology and environment	Exploit uncertainty for gain
Nonprogrammed decisions	Push choices that favor themselves
Organizational change	Use reorganization for own goals

Politics is **most likely** with high uncertainty **and** high competition (Exhibit 13.5). More rules and procedures mean **less** politics (Exhibit 13.6), a main reason for Weber's bureaucratic model.

> STORY **Adobe drops the annual review**
> In **2012** Adobe replaced its annual review with **"Check-in"**: frequent, **two-way** talks where employees add their own feedback. Engagement and satisfaction rose.
>
> **What it shows:** this "also eliminates the issue of politics creeping into the process."

6 How departments gain power

> STORY **University budgets: "the rich get richer"**
> Salancik and Pfeffer studied university budgets. Departments with more **clout** (outside grants, first-rate graduate students, national standing) found it easier to get **more** university resources.
>
> **What it shows:** the **resource dependence model**. Controlling scarce resources others need brings power, which brings more resources. They were won "through political processes, not rational ones."

STORY **Containers, food, and power companies**

Lawrence and Lorsch found: in **container makers** (delivery and quality critical), **sales and production** held the power; in **food processors** (marketing and food science), **sales and research** did. Only successful firms matched power to these needs. Utilities once led by **engineers** are now led mostly by **lawyers**.

What it shows: the **strategic contingencies model**. Units gain power by controlling activities others need, and can "inherit and lose power" as the environment shifts.

What gives unit A power over unit B:

1. **Coping with uncertainty** (main source): "Uncertainty itself does not give power; coping gives power." E.g. purchasing guarantees parts.
2. **No substitutes**: few alternatives (Apple is the only vendor for Mac and iPad) or irreplaceable people.
3. **Centrality**: *workflow pervasiveness* (B can't work without A: an assembly line) and *immediacy* (low inventory gives suppliers power).

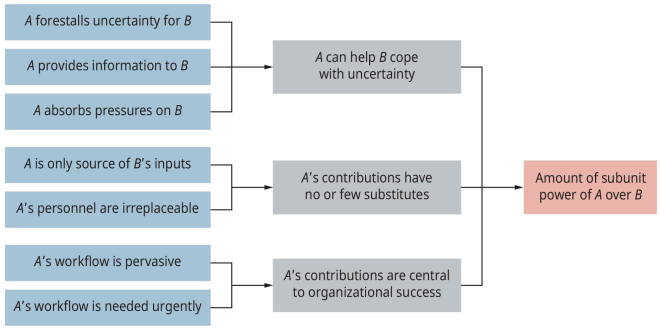


Exhibit 13.8: A strategic contingencies model of subunit power (OpenStax, CC BY-NC-SA 4.0).

The politics of innovation: new ideas inside companies meet the "not-invented-here syndrome" and turf fights over resources. "One person's innovation is another person's failure."

7 Keeping politics in check

"Politics in organizations cannot be eliminated," but its negative side can be neutralized (Table 13.3):

Strategy	How
1. Reduce uncertainty	Make job duties and evaluation clear; tie rewards closely to performance.
2. Reduce competition	Use impartial resource standards; stress goals the whole organization shares.
3. Break up existing fiefdoms	Reassign people; split dysfunctional subgroups; tell patronage players to "stop the political maneuvering," and remove them if they don't.
4. Prevent future fiefdoms	Training, selection, rewards; promote people who put organizational ends first.

Bottom line: "In organizations where politics prosper, in fact, you are likely to find a reward system that encourages and promotes such behavior. The choice is up to the organization."

The book's summary puts counterpower and both unit-power models under 13.2; the chapter covers them in 13.1 and 13.3.

Quick review: Chapter 13 in 8 lines

- **Power** = ability to get compliance; **authority** = the right to; **leadership** = going beyond compliance.
- **Five bases**: referent, expert → commitment; legitimate, reward → compliance; coercive → resistance.
- **Power dependency**: B's values, the A-B relationship, **counterpower** (e.g. EAs, unions).
- **Tactics**: control information, access, criteria, agenda; outside experts; gamesmanship; coalitions.
- **Politics** = power in action, "who gets what, when, and how"; not inherently bad.
- **Politics grows with** ambiguous goals, limited resources, changing technology and environment, nonprogrammed decisions, organizational change.
- **Unit power**: resource dependence; strategic contingencies (coping, no substitutes, centrality).
- **Limit politics**: reduce uncertainty, reduce competition, break up fiefdoms, prevent new ones.

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